

attractive to buyers, and so stimulate an increase in demand. Higher prices put buyers off, but stimulate an increase in supply.

The ups and down of supply and demand, and of prices, are continually working in a competitive market to compensate for shortages and surpluses. In a perfect market, this means that the levels of supply and demand are always balanced, or in equilibrium, and this is reflected in the price of the goods.



CREATING DEMAND

Producers of goods don't always supply goods that there is a demand for. Suppliers, especially if they have a new product to sell, will try to create a demand for their goods. By advertising, they hope to persuade people to buy things they didn't know they needed or wanted—especially if they are offered at apparently bargain prices.



Price: what a buyer pays for goods. **Cost:** what a seller has paid to get goods to the market.

See also: [The economic PROBLEM](#) | [Who gets WHAT?](#)